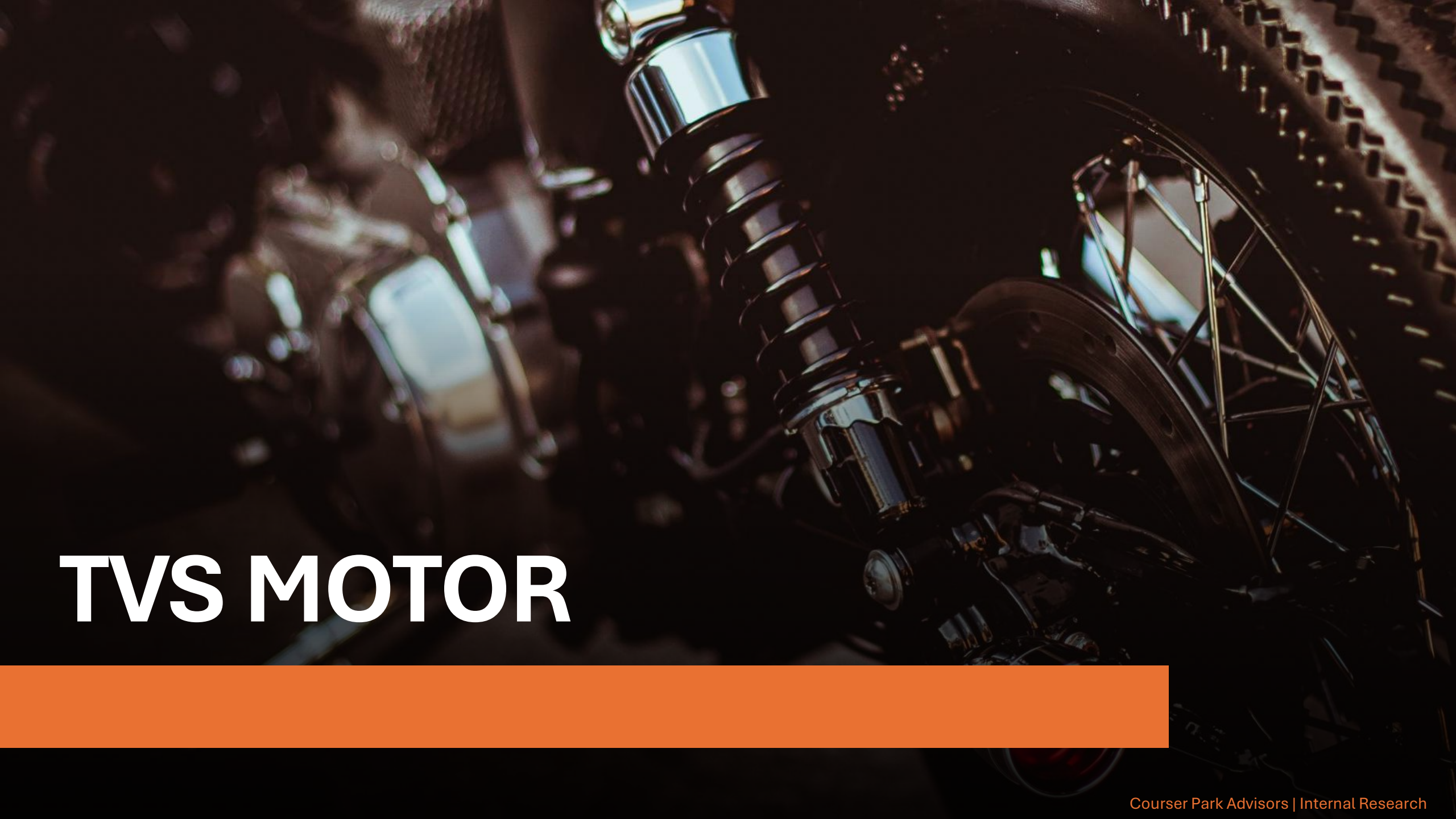




# TVS MOTOR

# Thesis

- The two wheeler industry is undergoing premiumization, and value migration towards EVs. The flattish overall industry growth over the last six years masks the strong growth in 125cc+ motorcycles, Scooters and Exports. TVS has been gaining market share in overall 2W market in India.
- Leaders in both motorcycles (Hero) and scooters (Honda) have been steadily losing market share over the last five years and TVS has been a beneficiary of that. TVS is the fourth largest player in domestic motorcycles, second largest in overall Scooters segment (leader in EV segment along with Bajaj Auto and OLA). It is the second largest player in 2W Exports.
- The company has performed the best over the last 3 years and 5 years window compared to other 2W peers. Even during weaker years of FY20 and FY21, the company has grown sales in-line with competitors but operating profit has grown faster.
- Export seems to be impacted by Africa weakness – mainly due to Nigeria’s currency devaluation and inflation. It has performed better than the leader, despite being a smaller player by significant margin. It is looking to expand into newer geographies and add new products to further derisk the segment.
- Losses at Subsidiaries’ level are mainly due to foreign subsidiaries, with Norton and Swiss E-mobility being the main drags. Post the sale of SAC, TVS Credit is the only major Indian subsidiary left. This NBFC has been compounding its book value at 25%+ for the last 6 years and has enough headroom given the smaller size of the book, although the growth has slowed down in 9MFY25 to single digits.
- The 2W recovery has been underway for the last 2-3 years and we are midway through the cycle with valuation rerating seen for all players. TVS is at its peak margins historically and continues to guide for improvement in coming quarters. Industry leading growth, recovery in exports and improving margin trajectory over the near to medium term is our base case, as far as business performance is concerned. Rate cuts and income-tax relief should help in the coming years.
- We value TVS Credit at a discount to Sundaram Finance due to slower growth in 9MFY25. For the purposes of valuation, we ignore all other subsidiaries as they are still in investment phase.
- Considering standalone entity valuations on the basis of peers, its own history as well as adjustments for TVS Credit, we believe 1800-1900 should be a good range to add for 20% IRR over medium term.
- **Key Risks:** Slowdown in India 2W, Worsening of Africa Market, EV Regulations

# 2W Industry

| Industry (Mn Units)           | FY19 | FY20 | FY21 | FY22 | FY23 | FY24 | FY25E | FY19-25 | FY19-22 | FY22-25 |
|-------------------------------|------|------|------|------|------|------|-------|---------|---------|---------|
| Domestic ICE 2Ws              | 21.2 | 17.4 | 15.1 | 13.5 | 15.5 | 17.5 | 19.4  | -1.5%   | -14.0%  | 12.8%   |
| Motorcycles                   | 13.6 | 11.2 | 10.0 | 9.0  | 10.2 | 11.7 | 12.6  | -1.3%   | -12.9%  | 11.9%   |
|                               |      |      |      |      |      |      |       |         |         |         |
| Economy Motorcycles           | 3.9  | 3.3  | 2.6  | 2.1  | 1.9  | 2.1  | 2.0   | -10.5%  | -18.6%  | -1.6%   |
|                               |      |      |      |      |      |      |       |         |         |         |
| Executive Motorcycles         | 4.5  | 3.1  | 2.8  | 2.8  | 3.4  | 3.6  | 3.9   | -2.4%   | -14.6%  | 11.7%   |
|                               |      |      |      |      |      |      |       |         |         |         |
| Executive Motorcycles - 125cc | 1.9  | 2.4  | 2.4  | 2.2  | 2.6  | 3.2  | 3.6   | 11.2%   | 5.0%    | 17.8%   |
|                               |      |      |      |      |      |      |       |         |         |         |
| Premium Motorcycles           | 3.2  | 2.5  | 2.2  | 1.8  | 2.3  | 2.8  | 3.1   | -0.5%   | -17.5%  | 19.9%   |
| Scooters                      | 6.7  | 5.6  | 4.5  | 4.1  | 5.3  | 6.2  | 7.4   | 1.7%    | -15.1%  | 21.8%   |
|                               |      |      |      |      |      |      |       |         |         |         |
| ICE                           | 6.7  | 5.6  | 4.5  | 4.0  | 4.9  | 5.4  | 6.3   | -1.0%   | -15.8%  | 16.3%   |
|                               |      |      |      |      |      |      |       |         |         |         |
| EV                            |      |      |      | 0.1  | 0.5  | 0.8  | 1.1   | 122.4%  |         | 122.4%  |
| Mopeds                        | 0.9  | 0.7  | 0.6  | 0.5  | 0.4  | 0.5  | 0.5   | -9.3%   | -17.8%  | 0.0%    |
| Total Domestic 2Ws            | 21.2 | 17.4 | 15.1 | 13.6 | 16.0 | 18.3 | 20.5  | -0.6%   | -13.8%  | 14.7%   |
|                               |      |      |      |      |      |      |       |         |         |         |
| Export 2Ws                    | 3.3  | 3.5  | 3.3  | 4.4  | 3.7  | 3.5  | 4.0   | 3.3%    | 10.1%   | -3.1%   |
|                               |      |      |      |      |      |      |       |         |         |         |
| Total 2W                      | 24.5 | 20.9 | 18.4 | 18.0 | 19.7 | 21.8 | 24.5  | 0.0%    | -9.8%   | 10.8%   |

| Industry Growth               | FY19 | FY20   | FY21   | FY22    | FY23   | FY24  | FY25E |
|-------------------------------|------|--------|--------|---------|--------|-------|-------|
| Domestic ICE 2Ws              |      | -17.9% | -13.2% | -10.6%  | 14.8%  | 12.9% | 10.9% |
| Motorcycles                   |      | -17.6% | -10.7% | -10.0%  | 13.3%  | 14.7% | 7.7%  |
| Economy Motorcycles           |      | -15.4% | -21.2% | -19.2%  | -9.5%  | 10.5% | -4.8% |
| Executive Motorcycles         |      | -31.1% | -9.7%  | 0.0%    | 21.4%  | 5.9%  | 8.3%  |
| Executive Motorcycles - 125cc |      | 26.3%  | 0.0%   | -8.3%   | 18.2%  | 23.1% | 12.5% |
| Premium Motorcycles           |      | -21.9% | -12.0% | -18.2%  | 27.8%  | 21.7% | 10.7% |
|                               |      |        |        |         |        |       |       |
| Scooters                      |      | -16.4% | -19.6% | -8.9%   | 29.3%  | 17.0% | 19.4% |
| ICE                           |      | -16.4% | -19.6% | -11.1%  | 22.5%  | 10.2% | 16.7% |
| EV                            |      |        | 796.0% | 5403.0% | 258.0% | 66.0% | 42.0% |
|                               |      |        |        |         |        |       |       |
| Mopeds                        |      | -22.2% | -14.3% | -16.7%  | -20.0% | 25.0% | 0.0%  |
|                               |      |        |        |         |        |       |       |
| Total Domestic 2Ws            |      | -17.9% | -13.2% | -9.9%   | 17.6%  | 14.4% | 12.0% |
| Export 2Ws                    |      | 6.1%   | -5.7%  | 33.3%   | -15.9% | -5.4% | 14.3% |
| Total 2W                      |      | -14.7% | -12.0% | -2.2%   | 9.4%   | 10.7% | 12.4% |

- Domestic ICE 2W segment (Motorcycle and Scooters), both is yet to reach its FY19 peak. Industry has bottomed out in FY22.
- Within Motorcycles, *Executive Motorcycles – 125 cc* has performed the best followed by *Premium* segment. The former has grown even when domestic industry was declining in FY19-22. *Premium* fell more than the industry but has come back stronger than rest three segments.
- Economy* and *Executive below 125cc* are yet to breach their previous peaks with the former degrowing even in the recovery phase of FY22-25.
- Scooter* segment fell more than Motorcycles but has recovered faster, mainly driven by EVs. Scooter ICE has grown faster than *Economy* and *Executive below 125cc*. *EV Scooter* seems to have taken market share from lower segments of *Motorcycles*.
- Export* grew well when *Domestic* was declining and has degrown when Domestic recovered. *It seems to have bottomed out in FY24*.
- In a nutshell, Industry growth is likely to be driven by Scooters, 125cc+ motorcycles and Exports.

# TVS: 125cc Fastest growing segment

Fig. 5: Industry and TVSL cc-wise mix

| Volumes ('000)          | FY20          | FY21          | FY22         | FY23          | FY24          | 1QFY25       | 2QFY25       | 3QFY25       |
|-------------------------|---------------|---------------|--------------|---------------|---------------|--------------|--------------|--------------|
| <b>Industry volumes</b> |               |               |              |               |               |              |              |              |
| 75 to 110cc             | 6,372         | 5,387         | 4,968        | 5,236         | 5,651         | 1,503        | 1,503        | 1,428        |
| 110-125cc               | 2,369         | 2,423         | 2,202        | 2,687         | 3,195         | 914          | 964          | 886          |
| 125-200cc               | 1,682         | 1,500         | 1,160        | 1,454         | 1,746         | 509          | 465          | 418          |
| >200cc                  | 791           | 712           | 654          | 854           | 1,062         | 272          | 277          | 303          |
| <b>Total</b>            | <b>11,214</b> | <b>10,021</b> | <b>8,984</b> | <b>10,231</b> | <b>11,653</b> | <b>3,198</b> | <b>3,210</b> | <b>3,035</b> |
| <b>Mix</b>              |               |               |              |               |               |              |              |              |
| 75 to 110cc             | 57%           | 54%           | 55%          | 51%           | 48%           | 47%          | 47%          | 47%          |
| 110-125cc               | 21%           | 24%           | 25%          | 26%           | 27%           | 29%          | 30%          | 29%          |
| 125-200cc               | 15%           | 15%           | 13%          | 14%           | 15%           | 16%          | 14%          | 14%          |
| >200cc                  | 7%            | 7%            | 7%           | 8%            | 9%            | 8%           | 9%           | 10%          |
| <b>TVSL volumes</b>     |               |               |              |               |               |              |              |              |
| 75 to 110cc             | 355           | 299           | 301          | 318           | 344           | 74           | 103          | 86           |
| 110-125cc               | 33            | -             | 77           | 239           | 478           | 118          | 95           | 100          |
| 125-200cc               | 365           | 326           | 326          | 349           | 378           | 121          | 102          | 107          |
| >200cc                  | 2             | 3             | 5            | 4             | 24            | 7            | 8            | 11           |
| <b>Total</b>            | <b>755</b>    | <b>628</b>    | <b>708</b>   | <b>910</b>    | <b>1,224</b>  | <b>319</b>   | <b>308</b>   | <b>303</b>   |
| <b>TVSL Mix</b>         |               |               |              |               |               |              |              |              |
| 75 to 110cc             | 47%           | 48%           | 42%          | 35%           | 28%           | 23%          | 34%          | 28%          |
| 110-125cc               | 4%            | 0%            | 11%          | 26%           | 39%           | 37%          | 31%          | 33%          |
| 125-200cc               | 48%           | 52%           | 46%          | 38%           | 31%           | 38%          | 33%          | 35%          |
| >200cc                  | 0%            | 1%            | 1%           | 0%            | 2%            | 2%           | 2%           | 4%           |

Source: SIAM, Nomura research

Fig. 4: CC-wise market share of peers

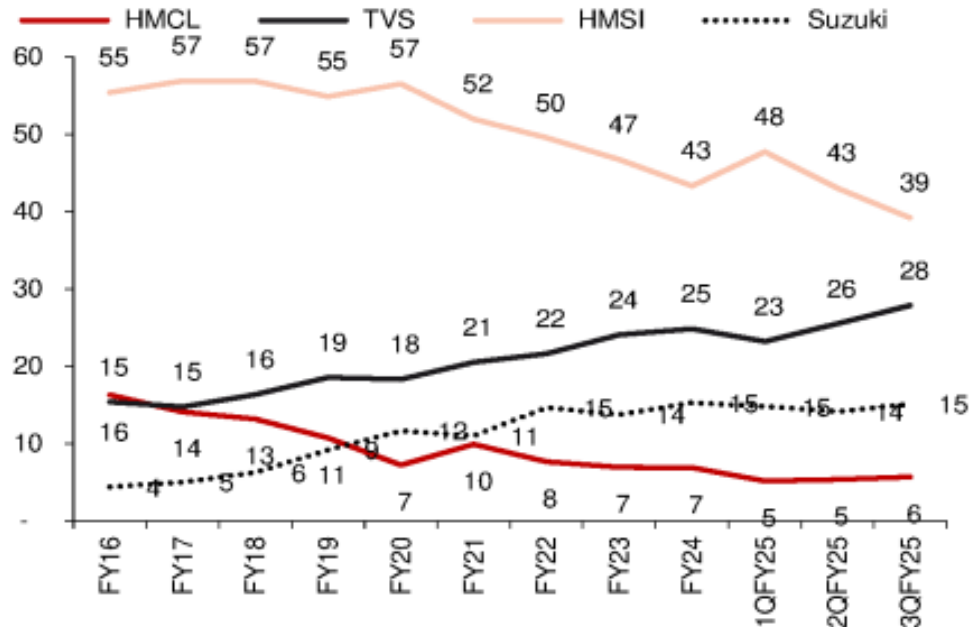
| Market share         | FY21       | FY22       | FY23       | FY24       | Q1FY25     | Q2FY25     | Q3FY25     |
|----------------------|------------|------------|------------|------------|------------|------------|------------|
| <b>BJAUT</b>         |            |            |            |            |            |            |            |
| 75-110cc             | 14%        | 15%        | 11%        | 10%        | 8%         | 9%         | 10%        |
| 110-125cc            | 19%        | 21%        | 25%        | 27%        | 25%        | 21%        | 21%        |
| 125-200cc            | 33%        | 28%        | 29%        | 32%        | 29%        | 29%        | 24%        |
| >200cc               | 15%        | 12%        | 8%         | 12%        | 14%        | 27%        | 24%        |
| <b>Total volumes</b> | <b>18%</b> | <b>18%</b> | <b>17%</b> | <b>18%</b> | <b>17%</b> | <b>17%</b> | <b>17%</b> |
| <b>TVS</b>           |            |            |            |            |            |            |            |
| 75-110cc             | 6%         | 6%         | 6%         | 6%         | 5%         | 7%         | 6%         |
| 110-125cc            | 0%         | 3%         | 9%         | 15%        | 13%        | 10%        | 11%        |
| 125-200cc            | 22%        | 28%        | 24%        | 22%        | 24%        | 22%        | 26%        |
| >200cc               | 0%         | 1%         | 1%         | 2%         | 2%         | 3%         | 4%         |
| <b>Total volumes</b> | <b>6%</b>  | <b>8%</b>  | <b>9%</b>  | <b>11%</b> | <b>10%</b> | <b>10%</b> | <b>10%</b> |
| <b>HMCL</b>          |            |            |            |            |            |            |            |
| 75-110cc             | 76%        | 75%        | 80%        | 78%        | 79%        | 76%        | 77%        |
| 110-125cc            | 40%        | 26%        | 21%        | 16%        | 20%        | 20%        | 21%        |
| 125-200cc            | 6%         | 6%         | 5%         | 4%         | 3%         | 3%         | 3%         |
| >200cc               | 0%         | 0%         | 0%         | 4%         | 3%         | 2%         | 1%         |
| <b>Total volumes</b> | <b>51%</b> | <b>48%</b> | <b>47%</b> | <b>43%</b> | <b>44%</b> | <b>42%</b> | <b>43%</b> |
| <b>Honda</b>         |            |            |            |            |            |            |            |
| 75-110cc             | 5%         | 4%         | 3%         | 6%         | 7%         | 8%         | 7%         |
| 110-125cc            | 41%        | 50%        | 45%        | 41%        | 42%        | 46%        | 42%        |
| 125-200cc            | 19%        | 13%        | 14%        | 17%        | 22%        | 24%        | 25%        |
| >200cc               | 3%         | 5%         | 4%         | 4%         | 4%         | 3%         | 4%         |
| <b>Total volumes</b> | <b>15%</b> | <b>16%</b> | <b>16%</b> | <b>17%</b> | <b>19%</b> | <b>21%</b> | <b>19%</b> |

TVS Raider seems to be doing very well in the 125cc segment.



# TVS : Gaining MS in Scooters

**Fig. 6: Scooter market share trend**



Source: SIAM, Nomura research

- In Scooters, Honda and Hero Moto are losing market share.
- TVS is the second largest player in the segment.
- In EVs, OLA has lost 27% MS since April 2024, mainly gained by Bajaj Auto and TVS Motors.

| EV Market share (%) | Feb-24 | Mar-24 | Apr-24 | May-24 | Jun-24 | Jul-24 | Aug-24 | Sep-24 | Oct-24 | Nov-24 | Dec-24 | Jan-25 |
|---------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Ola Electric        | 41.2   | 38.2   | 52.1   | 48.3   | 46.1   | 38.8   | 31.0   | 27.4   | 29.9   | 24.5   | 18.6   | 24.9   |
| TVS Motor           | 17.7   | 19.0   | 11.8   | 15.3   | 17.5   | 18.3   | 19.8   | 20.2   | 21.5   | 22.7   | 23.5   | 24.3   |
| Ather Energy        | 11.0   | 12.4   | 6.3    | 8.0    | 7.8    | 9.5    | 12.4   | 14.3   | 11.6   | 10.9   | 14.2   | 13.2   |
| Bajaj Auto          | 14.2   | 12.9   | 11.5   | 12.0   | 11.3   | 16.5   | 18.9   | 21.3   | 20.3   | 22.2   | 24.9   | 21.8   |
| Hero MotoCorp       | 2.1    | 2.9    | 1.5    | 3.2    | 3.9    | 4.7    | 5.3    | 4.8    | 5.2    | 6.2    | 1.4    | 1.7    |

# Benchmarking

| Net Sales | FY15  | FY16  | FY17  | FY18  | FY19  | FY20  | FY21  | FY22  | FY23  | FY24  |
|-----------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|
| TVS SA    | 10042 | 11105 | 12135 | 15175 | 18210 | 16423 | 16751 | 20791 | 26378 | 31776 |
| Hero SA   | 27585 | 28443 | 28500 | 32230 | 33651 | 28836 | 30801 | 29245 | 33806 | 37456 |
| Bajaj SA  | 21612 | 22587 | 21767 | 25219 | 30358 | 29919 | 27741 | 33145 | 36428 | 44685 |
| Eicher SA | 3031  | 6186  | 7038  | 8958  | 9794  | 9077  | 8619  | 10123 | 14067 | 16078 |

| EBITDA    | FY15 | FY16 | FY17 | FY18 | FY19 | FY20 | FY21 | FY22 | FY23 | FY24  |
|-----------|------|------|------|------|------|------|------|------|------|-------|
| TVS SA    | 639  | 914  | 1030 | 1274 | 1441 | 1378 | 1462 | 1981 | 2775 | 3663  |
| Hero SA   | 4020 | 4860 | 5108 | 5728 | 5495 | 4555 | 4502 | 3824 | 4427 | 5990  |
| Bajaj SA  | 4699 | 5856 | 5644 | 6131 | 6631 | 6830 | 6205 | 6468 | 7731 | 10225 |
| Eicher SA | 850  | 1992 | 2433 | 3186 | 3452 | 2819 | 2239 | 2568 | 4033 | 5548  |

| PAT       | FY15 | FY16 | FY17 | FY18 | FY19 | FY20 | FY21 | FY22 | FY23 | FY24 |
|-----------|------|------|------|------|------|------|------|------|------|------|
| TVS SA    | 348  | 489  | 558  | 663  | 670  | 592  | 612  | 894  | 1491 | 2083 |
| Hero SA   | 2386 | 3160 | 3377 | 3697 | 3385 | 3633 | 2964 | 2473 | 2911 | 3968 |
| Bajaj SA  | 2814 | 3930 | 3828 | 4068 | 4675 | 5100 | 4555 | 5019 | 5628 | 7479 |
| Eicher SA | 559  | 1309 | 1560 | 1713 | 2054 | 1904 | 1330 | 1586 | 2623 | 3749 |

| CAGR |     |     |
|------|-----|-----|
| 3Y   | 5Y  | 9Y  |
| 24%  | 12% | 14% |
| 7%   | 2%  | 3%  |
| 17%  | 8%  | 8%  |
| 23%  | 10% | 20% |

| CAGR |     |     |
|------|-----|-----|
| 3Y   | 5Y  | 9Y  |
| 36%  | 21% | 21% |
| 10%  | 2%  | 5%  |
| 18%  | 9%  | 9%  |
| 35%  | 10% | 23% |

| CAGR |     |     |
|------|-----|-----|
| 3Y   | 5Y  | 9Y  |
| 50%  | 25% | 22% |
| 10%  | 3%  | 6%  |
| 18%  | 10% | 11% |
| 41%  | 13% | 24% |

| Standalone (INR cr) | 9MFY25 YoY |
|---------------------|------------|
| <b>Revenue</b>      |            |
| TVS                 | 13.1%      |
| Hero                | 10.3%      |
| Bajaj               | 14.0%      |
| Eicher              | 12.3%      |
| <b>EBITDA</b>       |            |
| TVS                 | 20.6%      |
| Hero                | 14.3%      |
| Bajaj               | 17.4%      |
| Eicher              | 8.8%       |
| <b>PAT</b>          |            |
| TVS                 | 16.3%      |
| Hero                | 14.9%      |
| Bajaj               | 13.9%      |
| Eicher              | 14.0%      |

- TVS has been the best performer across 3Y and 5Y window. On 3Y basis, Eicher Motor seems to be a close second. Only Hero MotoCorp bottom-line growth has accelerated in 9MFY25 compared to respective 3Y CAGRs.
- On 9MFY25 basis, TVS is a close second to Bajaj in terms of sales growth but is the best player on EBITDA and PAT growth parameters.
- FY20 and FY21 were weak years for all the four players. Except for Eicher, all the other 3 players had similar sales growth in that period. Eicher has slightly lower growth which can be attributed to the relatively higher discretionary nature of its product. EBITDA growth for TVS was the best during the period.
- Fundamental parameters such as return ratios and cash generation are decent for all the companies above. The key thing to watch out for is growth and market share.

# Export Market

| EMKAY - BAJAJAUTO (Units) | FY21      | FY22      | FY23      | FY24      | FY25E     |
|---------------------------|-----------|-----------|-----------|-----------|-----------|
| Export 2Ws                | 17,96,518 | 21,95,772 | 16,36,956 | 14,77,338 | 16,98,939 |
| YoY                       |           | 22%       | -25%      | -10%      | 15%       |
| Export 3Ws                | 2,57,729  | 3,10,854  | 1,84,284  | 1,58,872  | 1,87,469  |
| YoY                       |           | 21%       | -41%      | -14%      | 18%       |
| Total                     | 20,54,247 | 25,06,626 | 18,21,240 | 16,36,210 | 18,86,408 |
| YoY                       |           | 22%       | -27%      | -10%      | 15%       |

|            |     |     |     |     |     |
|------------|-----|-----|-----|-----|-----|
| <b>Mix</b> |     |     |     |     |     |
| Export 2Ws | 87% | 88% | 90% | 90% | 90% |
| Export 3Ws | 13% | 12% | 10% | 10% | 10% |

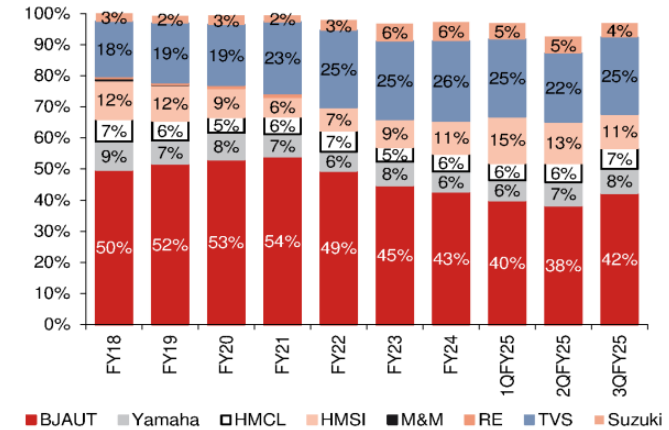
| EMKAY - TVSM (Units) | FY21     | FY22      | FY23      | FY24      | FY25E     |
|----------------------|----------|-----------|-----------|-----------|-----------|
| Export 2Ws           | 7,64,039 | 10,90,139 | 9,15,018  | 8,87,774  | 10,47,573 |
| YoY                  |          | 43%       | -16%      | -3%       | 18%       |
| Export 3Ws           | 1,15,330 | 1,63,052  | 1,53,039  | 1,25,379  | 1,02,811  |
| YoY                  |          | 41%       | -6%       | -18%      | -18%      |
| Total                | 8,79,369 | 12,53,191 | 10,68,057 | 10,13,153 | 11,50,384 |
| YoY                  |          | 43%       | -15%      | -5%       | 14%       |

|            |     |     |     |     |     |
|------------|-----|-----|-----|-----|-----|
| <b>Mix</b> |     |     |     |     |     |
| Export 2Ws | 87% | 87% | 86% | 88% | 91% |
| Export 3Ws | 13% | 13% | 14% | 12% | 9%  |

| Bajaj Export Volumes | Mix |
|----------------------|-----|
| Nigeria              | 25% |
| RoA                  | 25% |
| LatAm                | 20% |
| SE Asia/ME           | 20% |
| ASEAN                | 10% |

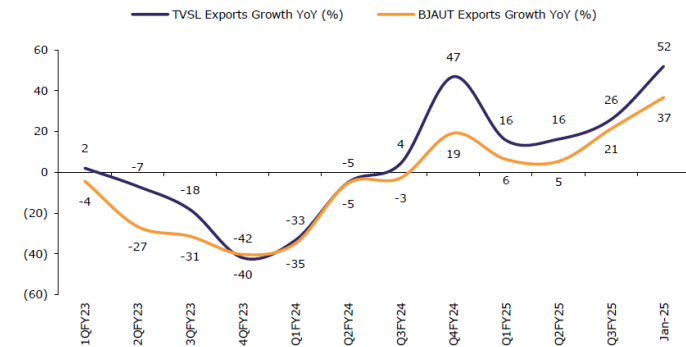
| TVS Export Volumes |     |
|--------------------|-----|
| Africa             | 55% |
| LatAM              | 15% |

Fig. 9: India 2W exports mix



Source: SIAM, Nomura research

Exhibit 7: TVSL continues to outperform larger peer BJAUT in exports as well



Source: Company, Emkay Research; Note: FY25YTD till Dec-24

- TVS is the second largest player compared to Bajaj Auto in exports. As of Q3FY25, Bajaj Auto has 42% and TVS has 25% market share in Export 2W. For Export 3W, Bajaj has 65% and TVS has 30% MS.
- Both companies have high exposure to Africa – mainly Nigeria. Due to currency devaluation and inflation, Nigeria market has been impacted leading to degrowth in exports over FY23 and FY24. TVS has done better than Bajaj Auto over these two years of degrowth.
- TVS is looking to expand its portfolio range (e.g. HLX 125 5-gear motorcycle) as well as focusing on other geographies like LatAM, ASEAN and Middle East.

# Valuation – IRR (Standalone Median PE)

|               |            |            |            |  |  |      |       |       |       |       |       |       |
|---------------|------------|------------|------------|--|--|------|-------|-------|-------|-------|-------|-------|
| CMP           | 2365       |            |            |  |  |      |       |       |       |       |       |       |
| Subs etc      | 200        |            |            |  |  |      |       |       |       |       |       |       |
| SA-CMP        | 2165       |            |            |  |  |      |       |       |       |       |       |       |
| S/O           | 47.5       |            |            |  |  |      |       |       |       |       |       |       |
| Mcap          | 112338     |            |            |  |  |      |       |       |       |       |       |       |
| Period        | 25-02-2025 | 31-03-2026 | 31-03-2027 |  |  |      |       |       |       |       |       |       |
|               |            | 1.1        | 2.1        |  |  |      |       |       |       |       |       |       |
|               |            |            |            |  |  |      |       |       |       |       |       |       |
|               |            |            |            |  |  |      |       |       |       |       |       |       |
|               |            |            |            |  |  | FY27 |       |       | EPS   |       |       |       |
| TVSM-SA       | FY25E      | FY26E      | FY27E      |  |  |      | 27.2% | 74    | 77    | 82    | 86    | 90    |
| EPS           | 54.7       | 68.6       | 81.6       |  |  |      | 35    | 8.6%  | 11.3% | 14.1% | 16.8% | 19.5% |
| YoY           |            | 25%        | 19%        |  |  |      | 40    | 15.8% | 18.6% | 21.6% | 24.4% | 27.4% |
| PE - SA       |            | 44         | 44         |  |  | PE   | 45    | 22.5% | 25.5% | 28.6% | 31.6% | 34.7% |
| Target        |            | 3019       | 3589       |  |  |      | 50    | 28.8% | 31.9% | 35.2% | 38.4% | 41.6% |
| IRR           |            | 35.3%      | 27.2%      |  |  |      | 55    | 34.7% | 38.1% | 41.5% | 44.8% | 48.2% |
|               |            |            |            |  |  |      |       |       |       |       |       |       |
| Forward PE SA |            | 31.6       | 26.5       |  |  |      |       |       |       |       |       |       |

- We assumed standalone 5Y median PE of TVS Motor and adjusted the CMP with the value of subsidiary values (200).



# SOTP Valuation – TVS Credit

| RoE of TVS Credit | Mar-18 | Mar-19 | Mar-20 | Mar-21 | Mar-22 | Mar-23 | Mar-24 |
|-------------------|--------|--------|--------|--------|--------|--------|--------|
| Book Value        | 750    | 989    | 1160   | 1104   | 1536   | 2385   | 3141   |
| Total Assets      | 5599   | 7516   | 8694   | 10403  | 13024  | 19590  | 22783  |
| PAT to TVS Motor  | 76     | 127    | 127    | 83     | 102    | 335    | 462    |
| RoA               | 1.4%   | 1.7%   | 1.5%   | 0.8%   | 0.8%   | 1.7%   | 2.0%   |
| RoE               | 10.1%  | 12.9%  | 11.0%  | 7.5%   | 6.6%   | 14.0%  | 14.7%  |

| P/E                              | Mar-18 | Mar-19 | Mar-20 | Mar-21 | Mar-22 | Mar-23 | Mar-24 | Mar-25E |
|----------------------------------|--------|--------|--------|--------|--------|--------|--------|---------|
| PAT of TVS Credit                | 89     | 148    | 151    | 97     | 121    | 389    | 571    | 744     |
| % Holding                        | 84.94% | 85.90% | 84.54% | 85.09% | 84.24% | 86.11% | 80.97% | 80.97%  |
| PAT to TVS Motor                 | 76     | 127    | 127    | 83     | 102    | 335    | 462    | 602     |
| Assigned P/E (Sundaram Fin Media | 15.0   | 15.0   | 15.0   | 15.0   | 15.0   | 15.0   | 15.0   | 15.0    |
| Mcap of Lending Book             | 1138   | 1911   | 1909   | 1238   | 1529   | 5025   | 6935   | 9036    |

| P/B                              | Mar-18 | Mar-19 | Mar-20 | Mar-21 | Mar-22 | Mar-23 | Mar-24 | Mar-25 |
|----------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|
| Book Value of TVS Credit         | 750    | 989    | 1160   | 1104   | 1536   | 2385   | 3141   | 3612   |
| Assigned P/B (Sundaram Fin Media | 2.5    | 2.5    | 2.5    | 2.5    | 2.5    | 2.5    | 2.5    | 2.5    |
| Mcap of Lending Book             | 1876   | 2472   | 2900   | 2760   | 3840   | 5963   | 7853   | 9030   |

- TVS CS is the retail finance arm of the Company for financing of two wheelers, used cars, used and new tractors, used commercial vehicles, consumer durables, digital finance products, emerging and corporate business loans and personal loans. It primarily caters to self-employed, new to credit borrowers in the semi-urban and rural areas in India.
- Considering the size of the book, and slowing down of the growth in the 9MFY25, we have assigned 2.5 PBV (15% discount to Sundaram's median of 3) and 15 PE (30% discount to Sundaram's median of 22).
- TTM Mcap of TVS CS attributable to TVS Motors comes to 9,000 crore.
- The book size of TVS CS registered a growth of 26% and is at 25,900 crore at the end of FY24.

| TVS Motors (Financial Services) INR cr | 9MFY24 | 9MFY25 | YoY      |        |
|----------------------------------------|--------|--------|----------|--------|
| Revenue                                | 4297   | 4981   | 16%      |        |
| EBIT                                   | 584    | 745    | 28%      |        |
| Post tax EBIT (25% tax rate)           | 438    | 558.8  |          |        |
| Assets                                 | 29014  | 31779  | 10%      |        |
| Post Tax EBIT/ Avg. Assets             |        | 1.8%   |          |        |
|                                        |        |        |          |        |
| AUM Mix (INR cr)                       | FY23   | FY24   | Mix      | YoY    |
| 2W                                     | 5556   | 6970   | 27%      | 25%    |
| Used Cars                              | 1806   | 2132   | 8%       | 18%    |
| Consumer Durable                       | 1338   | 2734   | 11%      | 104%   |
| Personal                               | 3587   | 4802   | 19%      | 34%    |
| New Tractor                            | 3356   | 2798   | 11%      | -17%   |
| Used Tractor                           | 2047   | 2685   | 10%      | 31%    |
| Used CV                                | 2236   | 3219   | 12%      | 44%    |
| Others (Balancing fig)                 | 676    | 560    | 2%       | -17%   |
| Total AUM                              | 20602  | 25900  |          | 26%    |
|                                        |        |        |          |        |
| Gross carrying value of Loans          | FY23   | FY24   |          |        |
| Stage 1 (upto 30D)                     | 19692  | 24358  |          |        |
| Stage 2 (31-90D)                       | 990    | 1306   |          |        |
| Stage 3 (>90D)                         | 574    | 743    |          |        |
| Total                                  | 21256  | 26407  |          |        |
|                                        |        |        |          |        |
| Gross carrying value of Loans          | FY23   | FY24   | % of AUM |        |
| Performing Assets                      |        |        |          |        |
| Stage 1                                | 19640  | 24276  | 93.73%   | 96.92% |
| Stage 2                                | 705    | 825    | 3.19%    |        |
|                                        |        |        |          |        |
| NPA                                    |        |        |          |        |
| Stage 1                                | 52     | 71     | 0.27%    |        |
| Stage 2                                | 284    | 427    | 1.65%    |        |
| Stage 3                                | 425    | 565    | 2.18%    |        |

# SOTP SA Valuation (Conservative)– Based on TVS Credit

| P/E                              | Mar-18 | Mar-19 | Mar-20 | Mar-21 | Mar-22 | Mar-23 | Mar-24 | Mar-25E |
|----------------------------------|--------|--------|--------|--------|--------|--------|--------|---------|
| PAT of TVS Credit                | 89     | 148    | 151    | 97     | 121    | 389    | 571    | 744     |
| % Holding                        | 84.94% | 85.90% | 84.54% | 85.09% | 84.24% | 86.11% | 80.97% | 80.97%  |
| PAT to TVS Motor                 | 76     | 127    | 127    | 83     | 102    | 335    | 462    | 602     |
| Assigned P/E (Sundaram Fin Media | 15.0   | 15.0   | 15.0   | 15.0   | 15.0   | 15.0   | 15.0   | 15.0    |
| Mcap of Lending Book             | 1138   | 1911   | 1909   | 1238   | 1529   | 5025   | 6935   | 9036    |
|                                  |        |        |        |        |        |        |        |         |
| FY Ending Mcap Consol            | 29422  | 22372  | 14136  | 27795  | 29724  | 51176  | 102232 | 102232  |
|                                  |        |        |        |        |        |        |        |         |
| Standalone PAT                   | 663    | 670    | 614    | 612    | 924    | 1491   | 1990   | 1990    |
| Mcap for TVS Standalone          | 28284  | 20461  | 12228  | 26557  | 28195  | 46152  | 95297  | 93195   |
|                                  |        |        |        |        |        |        |        |         |
| Implied Standalone P/E           | 42.7   | 30.5   | 19.9   | 43.4   | 30.5   | 31.0   | 47.9   | 46.8    |
|                                  |        |        |        |        |        |        |        |         |
|                                  |        |        |        |        |        |        |        |         |
| P/B                              | Mar-18 | Mar-19 | Mar-20 | Mar-21 | Mar-22 | Mar-23 | Mar-24 | Mar-25  |
| Book Value of TVS Credit         | 750    | 989    | 1160   | 1104   | 1536   | 2385   | 3141   | 3612    |
| Assigned P/B (Sundaram Fin Media | 2.5    | 2.5    | 2.5    | 2.5    | 2.5    | 2.5    | 2.5    | 2.5     |
| Mcap of Lending Book             | 1876   | 2472   | 2900   | 2760   | 3840   | 5963   | 7853   | 9030    |
|                                  |        |        |        |        |        |        |        |         |
| FY Ending Mcap                   | 29422  | 22372  | 14136  | 27795  | 29724  | 51176  | 102232 | 114443  |
|                                  |        |        |        |        |        |        |        |         |
| Standalone PAT                   | 662.59 | 670.14 | 614.24 | 612.04 | 923.72 | 1,491  | 1,990  | 2,553   |
| Mcap for TVS Standalone          | 27546  | 19900  | 11236  | 25035  | 25884  | 45214  | 94379  | 105413  |
|                                  |        |        |        |        |        |        |        |         |
| Implied Standalone P/E           | 41.6   | 29.7   | 18.3   | 40.9   | 28.0   | 30.3   | 47.4   | 41.3    |

| Standalone Mcap | Mar-18 | Mar-19 | Mar-20 | Mar-21 | Mar-22 | Mar-23 | Mar-24 | Mar-25 |
|-----------------|--------|--------|--------|--------|--------|--------|--------|--------|
| TVS-PE          | 28284  | 20461  | 12228  | 26557  | 28195  | 46152  | 95297  | 93195  |
| TVS-PB          | 27546  | 19900  | 11236  | 25035  | 25884  | 45214  | 94379  | 105413 |
| Average SA Mcap | 27915  | 20181  | 11732  | 25796  | 27039  | 45683  | 94838  | 99304  |
|                 |        |        |        |        |        |        |        |        |
| Debt            | 1,189  | 1,400  | 2,132  | 1,230  | 1,963  | 2,663  | 1,964  | 1555   |
| Cash            | 11     | 44     | 419    | 930    | 401    | 242    | 531    | 860    |
| Net Debt        | 1,178  | 1,356  | 1,713  | 300    | 1,562  | 2,421  | 1,433  | 695    |
|                 |        |        |        |        |        |        |        |        |
| Average SA EV   | 29093  | 21537  | 13445  | 26096  | 28601  | 48104  | 96271  | 99999  |
|                 |        |        |        |        |        |        |        |        |
| Sales SA        | 15,175 | 18,210 | 16,423 | 16,751 | 20,791 | 26,378 | 31,776 | 35,918 |
| Mcap/Sales SA   | 1.8    | 1.1    | 0.7    | 1.5    | 1.3    | 1.7    | 3.0    | 2.8    |
|                 |        |        |        |        |        |        |        |        |
| EBITDA SA       | 1,175  | 1,435  | 1,346  | 1,430  | 1,962  | 2,675  | 3,514  | 4,238  |
| EV/EBITDA SA    | 24.8   | 15.0   | 10.0   | 18.2   | 14.6   | 18.0   | 27.4   | 23.6   |

|                              | Average Multiples |         |
|------------------------------|-------------------|---------|
| TVS Standalone               | FY18-25           | FY22-25 |
| PE (Based on 15 PE TVS CS)   | 36.6              | 39.1    |
| PE (Based on 2.5 P/B TVS CS) | 34.7              | 36.8    |
| Mcap/Sales                   | 1.7               | 2.2     |
| EV/EBITDA                    | 18.9              | 20.9    |

- Ignoring other subsidiaries and assuming the above mentioned valuations of TVS CS, Implied 8Y Mean PE of standalone comes to 36. Broadly 9% of CMP is attributed to TVS CS.
- Assuming FY22-25 mean to factor in its growing presence in EV, the mean multiples have inflated by 5-10%.
- Based on historical analysis, neither growth nor MS gain seem to be directly correlated to rerating or derating. It is better to go with a conservative approach.
- Trailing 35-38 PE** seems apt for the standalone business, conservatively.

# SOTP IRR Valuations – IRR (Assuming 8Y Average Implied PE)

| TVSM (Standalone, INR Cr)     | FY2021 | FY2022 | FY2023 | FY2024 | FY2025E | FY2026E | FY2027E |
|-------------------------------|--------|--------|--------|--------|---------|---------|---------|
| Revenue                       | 16751  | 20791  | 26378  | 31776  | 35997   | 41286   | 46540   |
| % Change YoY                  |        | 24%    | 27%    | 20%    | 13%     | 15%     | 13%     |
| EBITDA                        | 1429   | 1962   | 2675   | 3514   | 4271    | 5160    | 6006    |
| % Change YoY                  |        | 37%    | 36%    | 31%    | 22%     | 21%     | 16%     |
| % EBITDA Margin               | 8.5%   | 9.4%   | 10.1%  | 11.1%  | 11.9%   | 12.5%   | 12.9%   |
| PAT                           | 612    | 924    | 1491   | 1990   | 2598    | 3259    | 3874    |
| % Change YoY                  |        | 51%    | 61%    | 33%    | 31%     | 25%     | 19%     |
| % PAT Margin                  | 3.7%   | 4.4%   | 5.7%   | 6.3%   | 7.2%    | 7.9%    | 8.3%    |
| Diluted EPS                   | 12.9   | 18.8   | 31.4   | 43.8   | 54.7    | 68.6    | 81.6    |
| % Change YoY                  |        | 46%    | 67%    | 40%    | 25%     | 25%     | 19%     |
| Net Debt                      | 300    | 1,562  | 2,421  | 1,433  | 695     | 695     | 695     |
| Implied Standalone Forward PE |        |        |        |        | 31.5    | 26.5    |         |

| P/S Median    | 5Y  | 10Y |
|---------------|-----|-----|
| Bajaj Auto    | 3.5 | 3.4 |
| Hero Motocorp | 1.9 | 1.9 |

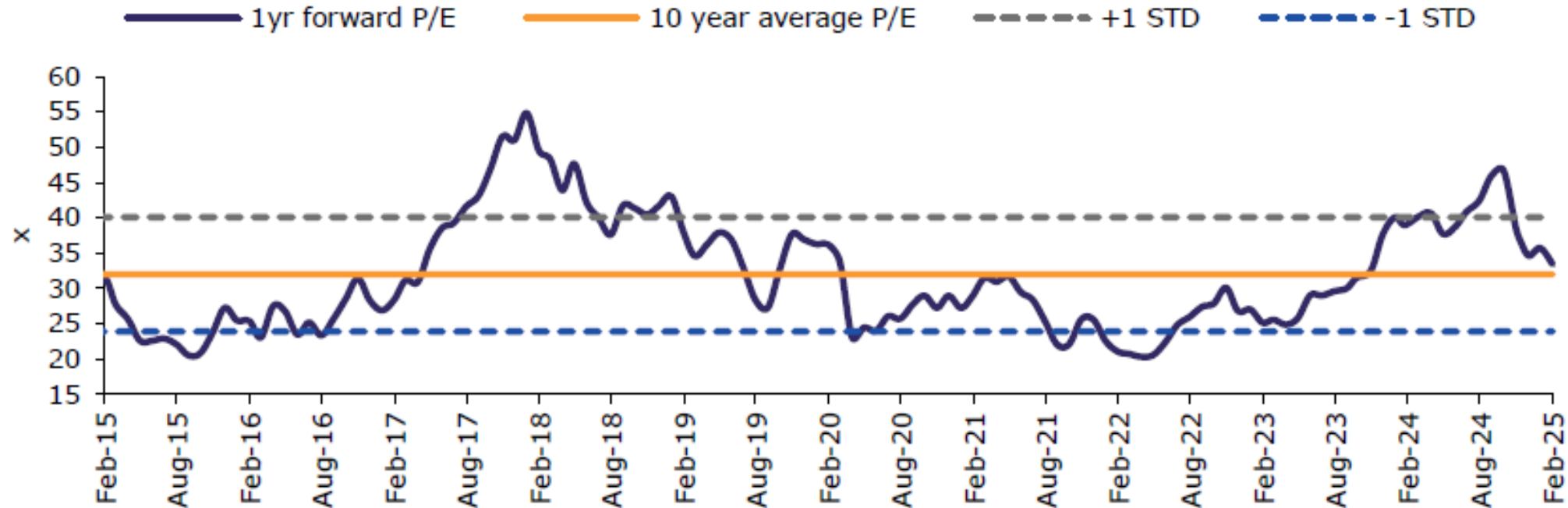
| EV/EBITDA Median | 5Y   | 10Y  |
|------------------|------|------|
| Bajaj Auto       | 16.6 | 14.6 |
| Hero Motocorp    | 13.0 | 12.4 |

| SA Mean Framework (8Y, TTM) |  |  |  |  | FY2025E | FY2026E | FY2027E |
|-----------------------------|--|--|--|--|---------|---------|---------|
| Mcap/S                      |  |  |  |  | 1.9     | 1.9     | 1.9     |
| EV/EBITDA                   |  |  |  |  | 18.9    | 18.9    | 18.9    |
| P/E                         |  |  |  |  | 36.6    | 36.6    | 36.6    |

| Implied IRR |  |  |  |  | FY2025E | FY2026E | FY2027E | 20% Buy FY27 |
|-------------|--|--|--|--|---------|---------|---------|--------------|
| Mcap/S      |  |  |  |  |         | -21.7%  | -6.8%   | 1468         |
| EV/EBITDA   |  |  |  |  |         | -5.1%   | 4.6%    | 1820         |
| P/E         |  |  |  |  |         | 14.7%   | 16.7%   | 2234         |

- TVS Motor has improving margin trajectory along with market share gain in Exports, Scooters and Overall 2W market. Leaders – Hero and Honda have been losing market share. Bajaj Auto has maintained its market share in overall 2W industry and is a joint leader with TVS on EV 2Ws.
- Assuming 36-37 PE for standalone TVS FY25E PAT, Implied FY25E P/S comes to 2.6 and FY25E EV/EBITDA comes to 22.4. As margins have further room to expand, implied P/S means a 30-35% premium to Hero and 24% discount to Bajaj Auto, which seems fair.
- Hero is at 14% EBITDAM while Bajaj Auto is at 18-20% EBITDAM. Hence, 22.4 EV/EBITDA looks expensive and 19 seems like a bull case which is 20% premium to Bajaj Auto's 5Y median itself.
- It is important to note that the company has been improving margins over the last 5 years and stock seems to have rerated accordingly in all three valuations parameters.
- 1800-1900 looks like a good range to add.

# Valuations: 1Y Forward PE band chart



Source: Bloomberg, Emkay Research

- At CMP, we are close to 1Y forward P/E mean and hence, IRR depends on earnings performance more than rerating.
- Based on 1SD below multiple of 25, 1950 is the target price.

# Peer Comps

|                  |        | 25-02-2025 | 25-02-2025 | Sales  |        |        |       | EBITDA |       |       |       | EPS   |       |       |       |          |
|------------------|--------|------------|------------|--------|--------|--------|-------|--------|-------|-------|-------|-------|-------|-------|-------|----------|
| Company (INR cr) | Source | CMP        | EV         | FY25   | FY26   | FY27   | CAGR  | FY25   | FY26  | FY27  | CAGR  | FY25  | FY26  | FY27  | CAGR  | PEG FY27 |
| TVS Motor (SA)   | BBG    | 2260       | 112815     | 35997  | 41286  | 46540  | 13.7% | 4271   | 5160  | 6006  | 18.6% | 54.7  | 68.6  | 81.6  | 22.1% | 1.3      |
| Hero (SA)        | BBG    | 3816       | 76613      | 41163  | 45128  | 49037  | 9.1%  | 5936   | 6560  | 7167  | 9.9%  | 232.3 | 254.3 | 279.1 | 9.6%  | 1.4      |
| Bajaj Auto (SA)  | BBG    | 8431       | 2,39,129   | 50882  | 58196  | 66015  | 13.9% | 10271  | 11883 | 13514 | 14.7% | 302.1 | 350.8 | 396.3 | 14.5% | 1.5      |
| Eicher           | BBG    | 4993       | 1,37,079   | 18574  | 20990  | 23392  | 12.2% | 4766   | 5449  | 6150  | 13.6% | 164.6 | 185.4 | 209.9 | 12.9% | 1.8      |
| Maruti (SA)      | BBG    | 12455      | 3,89,652   | 152211 | 169674 | 189189 | 11.5% | 18420  | 20806 | 23360 | 12.6% | 462.4 | 523.5 | 581.4 | 12.1% | 1.8      |
| TAMO             | BBG    | 662        | 3,20,784   | 447588 | 477928 | 517638 | 7.5%  | 59940  | 65191 | 72077 | 9.7%  | 59    | 67.4  | 77.5  | 14.6% | 0.6      |
| Hyundai          | BBG    | 1824       | 1,40,873   | 69335  | 76200  | 85180  | 10.8% | 8716   | 9776  | 11124 | 13.0% | 67.4  | 75.1  | 85.9  | 12.9% | 1.6      |
| M&M (SA)         | BBG    | 2780       | 4,46,256   | 114892 | 132235 | 148970 | 13.9% | 16702  | 19117 | 21603 | 13.7% | 101.9 | 117.7 | 132.7 | 14.1% | 1.5      |

|                  |        | 25-02-2025 | 25-02-2025 | P/E  |      | EV/EBITDA |      | EV/Sales |      |
|------------------|--------|------------|------------|------|------|-----------|------|----------|------|
| Company (INR cr) | Source | CMP        | EV         | FY26 | FY27 | FY26      | FY27 | FY26     | FY27 |
| TVS Motor (SA)   | BBG    | 2260       | 112815     | 32.9 | 27.7 | 21.9      | 18.8 | 2.7      | 2.4  |
| Hero (SA)        | BBG    | 3816       | 76613      | 15.0 | 13.7 | 11.7      | 10.7 | 1.7      | 1.6  |
| Bajaj Auto (SA)  | BBG    | 8431       | 2,39,129   | 24.0 | 21.3 | 20.1      | 17.7 | 4.1      | 3.6  |
| Eicher           | BBG    | 4993       | 1,37,079   | 26.9 | 23.8 | 25.2      | 22.3 | 6.5      | 5.9  |
| Maruti (SA)      | BBG    | 12455      | 3,89,652   | 23.8 | 21.4 | 18.7      | 16.7 | 2.3      | 2.1  |
| TAMO             | BBG    | 662        | 3,20,784   | 9.8  | 8.5  | 4.9       | 4.5  | 0.7      | 0.6  |
| Hyundai          | BBG    | 1824       | 1,40,873   | 24.3 | 21.2 | 14.4      | 12.7 | 1.8      | 1.7  |
| M&M (SA)         | BBG    | 2780       | 4,46,256   | 23.6 | 20.9 | 23.3      | 20.7 | 3.4      | 3.0  |

- TVS is the fastest growing company across Sales, EBITDA and PAT growth. Closest comp, Bajaj Auto, is supposed to grow at 15%.
- It is the cheapest on PEG basis among 2WS and second cheapest considering the entire sample.



# Q4FY25 Growth Estimates

| TVS MOTOR COMPANY LTD |        |        |        |        |        |        |        |        | SCREENER.IN |        |        |
|-----------------------|--------|--------|--------|--------|--------|--------|--------|--------|-------------|--------|--------|
| Narration             | Sep-22 | Dec-22 | Mar-23 | Jun-23 | Sep-23 | Dec-23 | Mar-24 | Jun-24 | Sep-24      | Dec-24 | Mar-25 |
| Sales                 | 7,219  | 6,545  | 6,605  | 7,218  | 8,145  | 8,245  | 8,169  | 8,376  | 9,228       | 9,097  | 9,097  |
| Expenses              | 6,483  | 5,886  | 5,925  | 6,454  | 7,245  | 7,321  | 7,243  | 7,415  | 8,148       | 8,016  |        |
| Operating Profit      | 737    | 659    | 680    | 764    | 900    | 924    | 926    | 960    | 1,080       | 1,081  | 1,181  |
| Other Income          | 1      | 6      | 71     | 58     | 46     | 73     | -29    | 36     | 30          | -23    | 18     |
| Depreciation          | 154    | 158    | 167    | 164    | 170    | 178    | 189    | 176    | 181         | 188    | 188    |
| Interest              | 35     | 32     | 36     | 47     | 52     | 45     | 37     | 37     | 32          | 34     | 34     |
| Profit before tax     | 549    | 475    | 547    | 610    | 724    | 775    | 672    | 783    | 897         | 837    | 977    |
| Tax                   | 142    | 123    | 136    | 143    | 187    | 182    | 186    | 206    | 235         | 218    |        |
| Net profit            | 407    | 353    | 410    | 468    | 537    | 593    | 485    | 577    | 663         | 618    | 733    |
| OPM                   | 10.2%  | 10.1%  | 10.3%  | 10.6%  | 11.0%  | 11.2%  | 11.3%  | 11.5%  | 11.7%       | 11.9%  | 13.0%  |
|                       |        |        |        |        |        |        |        |        |             |        |        |
|                       |        |        |        |        |        |        |        |        |             |        |        |
|                       |        |        |        |        |        |        |        |        |             |        |        |
| Growth                |        |        |        |        |        |        |        |        |             |        |        |
| Sales                 |        |        |        |        | 12.8%  | 26.0%  | 23.7%  | 16.0%  | 13.3%       | 10.3%  | 11.4%  |
| Operating Profit      |        |        |        |        | 22.2%  | 40.3%  | 36.3%  | 25.7%  | 20.0%       | 17.0%  | 27.6%  |
| Net profit            |        |        |        |        | 31.7%  | 68.2%  | 18.3%  | 23.4%  | 23.5%       | 4.2%   | 51.0%  |

PLI of 100 cr per Quarter based on reasonable estimates. Assumed the same number at EBITDA level in Q4.

# Subsidiary losses: Norton and Swiss E-Mobility

| TVSMOTORS                            |        |        |        |        |        |        |        |        |
|--------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|
| Sales                                | Mar-17 | Mar-18 | Mar-19 | Mar-20 | Mar-21 | Mar-22 | Mar-23 | Mar-24 |
| Standalone                           | 12,135 | 15,175 | 18,210 | 16,423 | 16,751 | 20,791 | 26,378 | 31,776 |
| Consol                               | 12,463 | 16,340 | 20,160 | 18,849 | 19,421 | 24,355 | 31,974 | 39,145 |
| EBITDA                               | Mar-17 | Mar-18 | Mar-19 | Mar-20 | Mar-21 | Mar-22 | Mar-23 | Mar-24 |
| Standalone                           | 859    | 1,175  | 1,435  | 1,346  | 1,430  | 1,962  | 2,675  | 3,514  |
| Consol                               | 871    | 1,571  | 2,163  | 2,264  | 2,232  | 2,755  | 4,027  | 5,500  |
| PAT                                  | Mar-17 | Mar-18 | Mar-19 | Mar-20 | Mar-21 | Mar-22 | Mar-23 | Mar-24 |
| Standalone                           | 558    | 663    | 670    | 592    | 612    | 894    | 1,491  | 2,083  |
| Consol                               | 511    | 652    | 705    | 625    | 594    | 757    | 1,329  | 1,686  |
| Subsidiaries                         | Mar-17 | Mar-18 | Mar-19 | Mar-20 | Mar-21 | Mar-22 | Mar-23 | Mar-24 |
| Sales                                | 328    | 1,165  | 1,950  | 2,426  | 2,670  | 3,564  | 5,596  | 7,369  |
| EBITDA                               | 12     | 396    | 728    | 918    | 802    | 793    | 1,352  | 1,986  |
| PAT                                  | -47    | -11    | 35     | 33     | -18    | -137   | -162   | -397   |
| TVS Credit                           | Mar-17 | Mar-18 | Mar-19 | Mar-20 | Mar-21 | Mar-22 | Mar-23 | Mar-24 |
| Sales                                |        |        |        |        | 2238   | 2747   | 4156   | 5791   |
| EBIT                                 |        |        |        |        | 105    | 148    | 571    | 758    |
| PBT                                  |        |        |        |        | 105    | 151    | 512    | 763    |
| PAT                                  |        |        |        |        | 97     | 120    | 389    | 571    |
| Subsidiaries ex-TVS Credit           | Mar-17 | Mar-18 | Mar-19 | Mar-20 | Mar-21 | Mar-22 | Mar-23 | Mar-24 |
| Sales                                |        |        |        |        | 432    | 817    | 1,440  | 1,578  |
| PAT                                  |        |        |        |        | -115   | -257   | -551   | -968   |
| Subsidiaries ex-(TVS Credit + SAC)   |        |        |        |        |        |        |        |        |
| Sales                                |        |        |        |        |        |        | 660    | 814    |
| PAT                                  |        |        |        |        |        |        | -567   | -987   |
| Norton PAT                           |        |        |        |        |        |        | -277   | -394   |
| Swiss PAT                            |        |        |        |        |        |        | -91    | -224   |
| Share Of P/L in JV/Associates (loss) |        |        |        |        | -8     | 2      | -41    | -44    |
| Minority (Profit)                    |        |        |        |        | -13    | -26    | 19     | -92    |

|                           | FY24 Consol Mix |         |
|---------------------------|-----------------|---------|
| Subsidiaries              | Sales Mix       | PAT Mix |
| Overall (India + Foreign) | 19%             | -24%    |
| TVS Credit                | 15%             | 34%     |
| SAC                       | 2%              | 1%      |
| Others                    | 2%              | -59%    |

- 2/3<sup>rd</sup> of Loss in other subsidiaries (Ex of TVS Credit and SAC) are driven by Swiss E-Mobility and Norton over the last two years.
- Foreign subsidiaries are major loss makers. TVS Credit would be the only material Indian subsidiary left post Sundaram Auto Components' (SAC) sale to Pricol recently.

# Appendix

# Norton Acquisition : Not a big Optionality

Norton Motorcycles has experienced a tumultuous history of ownership changes, marked by financial struggles and attempts at revitalization. Here's a chronological overview of its ownership transitions:

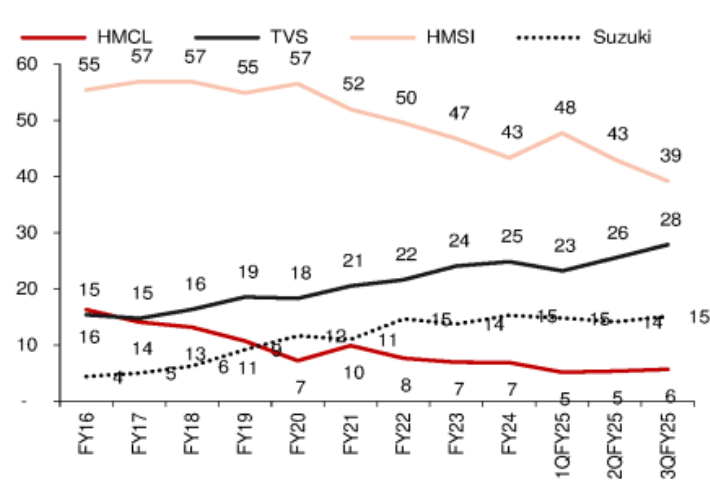
- **Early Years:** Founded in 1898 by James Norton, the company initially focused on manufacturing fittings and parts for motorcycles.
- **1913:** Facing financial difficulties, James Norton partnered with R.T. Shelly to form Norton Motors Limited, which helped stabilize the company.
- **1953:** Norton was sold to **Associated Motor Cycles (AMC)**, which owned several other British motorcycle brands. However, AMC faced insolvency in 1966 and was restructured as **Norton-Villiers**.
- **1970s:** The UK government intervened during financial crises affecting several British motorcycle manufacturers, leading to the formation of **Norton-Villiers-Triumph**. This venture ultimately failed.
- **1993:** The brand was acquired by **Wildrose Ventures**, a Canadian company, but ownership changed again within a year to **Aquilini Investments** due to ongoing financial issues.
- **2008:** UK businessman **Stuart Garner** purchased Norton and aimed to revive the brand by establishing a new factory in Donington Park. Despite initial success, Garner's management faced scrutiny and legal challenges.
- **2020:** Following financial difficulties that led to administration, Norton went into liquidation in January 2020. In April 2020, it was acquired by **TVS Motor Company**, an Indian manufacturer, marking a new chapter for the brand with plans for revitalization and expansion.

# SWISS E-Mobility: E-Cycle Optionality

Swiss E-Mobility Group AG (SEMG) is a provider of e-mobility solutions within the DACH region <sup>2</sup> <sup>4</sup>. Here is a brief history:

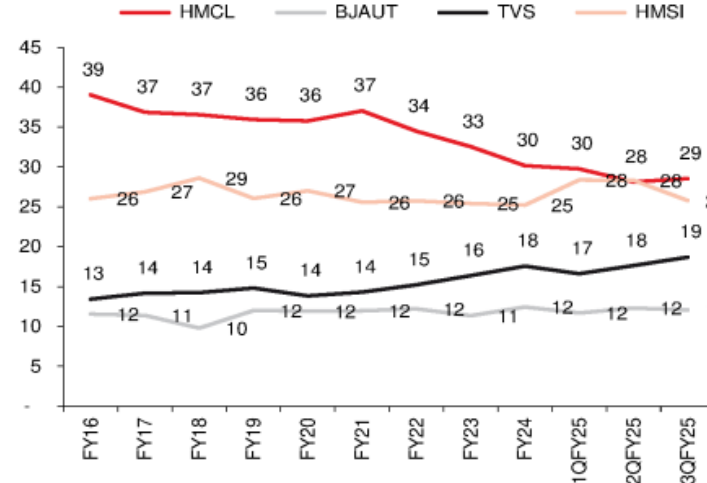
- **Inception and Growth:** SEMG was established in 2018 as part of the CONSTELLATION V fund, with CONSTELLATION CAPITAL AG as advisor <sup>2</sup> <sup>6</sup>. Since then, SEMG has grown by acquiring various companies in the e-mobility sector <sup>2</sup>.
- **Acquisition of M-way:** In 2020, SEMG acquired M-way, Switzerland's largest e-bike retailer, previously a subsidiary of Swiss retail giant Migros, and merged it with bicycle wholesaler Colag <sup>4</sup>. The acquisition of M-way presented SEMG with the challenge of integrating a complex branch operation that had its own data center <sup>4</sup>.
- **IT Environment:** With the support of Microsoft partner Swiss IT Professional AG, SEMG migrated all systems and servers to the Azure cloud <sup>4</sup>. The new environment is fully scalable, cost-effective, and provides the ideal conditions for flexible growth. With Azure Kubernetes Services, it was also possible to create an omnichannel platform covering all channels <sup>4</sup>.
- **Acquisition by TVS Motor Company:** In January 2022, TVS Motor Company acquired a 75% stake in SEMG <sup>2</sup> <sup>3</sup>. SEMG complements TVS Motors' acquisitions of Norton Motorcycles and EGO Movement <sup>3</sup>. The acquisition will help strengthen the firm's commitment to environmental sustainability <sup>3</sup>.
- **Brands:** SEMG has a portfolio of Swiss mobility brands, including Cilo, Simpel, Allegro, and Zenith <sup>2</sup>.
- **E-bike market:** The e-market for e-bicycles holds significant growth potential in Europe as the total bicycle population is growing at a CAGR of approximately 18 percent <sup>3</sup>.

Fig. 6: Scooter market share trend



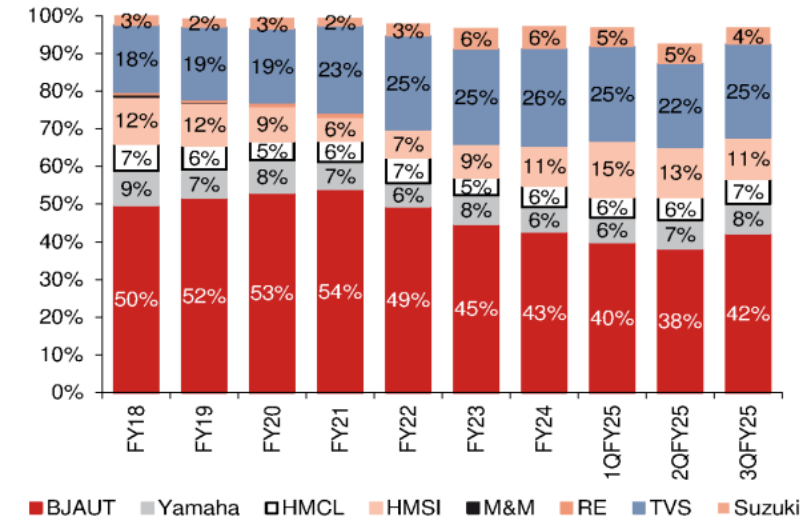
Source: SIAM, Nomura research

Fig. 7: 2W market share trend (%)



Source: SIAM, Nomura research

Fig. 9: India 2W exports mix

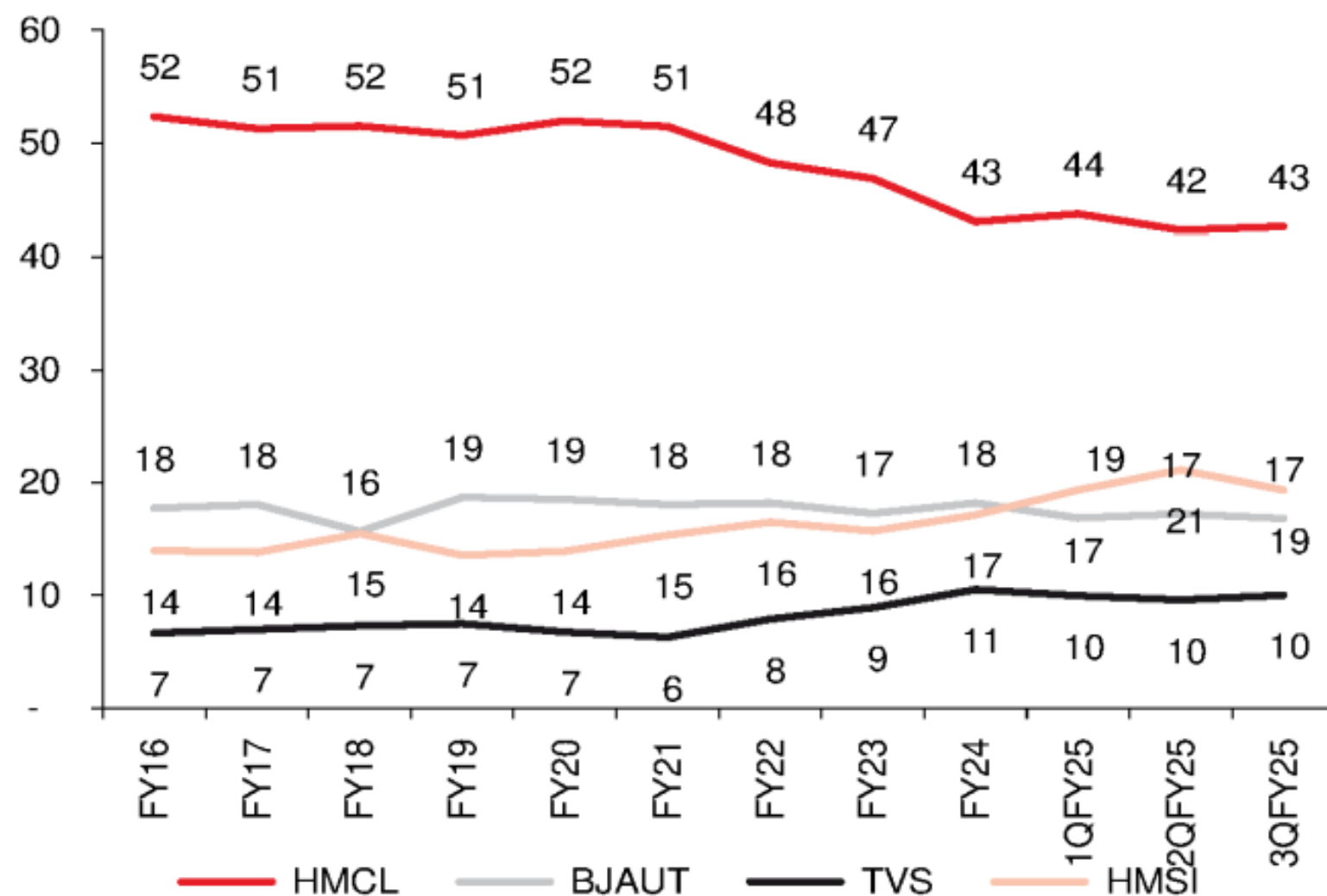


Source: SIAM, Nomura research

| SIAM- 2 Wheeler     | FY10        | FY11        | FY12        | FY13        | FY14        | FY15        | FY16        | FY17        | FY18        | FY19        | FY20        | FY21        | FY22        | FY23        | FY24        | FY10-24 | FY14-24 | FY19-24 |
|---------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|---------|---------|---------|
| Production          | 1,05,12,903 | 1,33,49,349 | 1,54,27,532 | 1,57,44,156 | 1,68,83,049 | 1,84,89,311 | 1,88,30,227 | 1,99,33,739 | 2,31,54,838 | 2,44,99,777 | 2,10,32,927 | 1,83,49,941 | 1,78,21,111 | 1,94,59,009 | 2,14,68,527 | 5.2%    | 2.4%    | -2.6%   |
| Domestic Wholesale  | 93,72,845   | 1,18,17,730 | 1,34,52,421 | 1,37,87,778 | 1,47,99,049 | 1,60,31,845 | 1,63,47,351 | 1,75,93,462 | 2,03,39,835 | 2,12,18,936 | 1,75,13,522 | 1,50,67,155 | 1,33,77,980 | 1,58,06,887 | 1,80,10,111 | 4.8%    | 2.0%    | -3.2%   |
| YoY                 |             | 26%         | 14%         | 2%          | 7%          | 8%          | 2%          | 8%          | 16%         | 4%          | -17%        | -14%        | -11%        | 18%         | 14%         |         |         |         |
| Export              | 11,40,058   | 15,31,619   | 19,75,111   | 19,56,378   | 20,84,000   | 24,57,466   | 24,82,876   | 23,40,277   | 28,15,003   | 32,80,841   | 35,19,405   | 32,82,786   | 44,43,131   | 36,52,122   | 34,58,416   | 8.2%    | 5.2%    | 1.1%    |
| YoY                 |             | 34%         | 29%         | -1%         | 7%          | 18%         | 1%          | -6%         | 20%         | 17%         | 7%          | -7%         | 35%         | -18%        | -5%         |         |         |         |
| YoY Export-Domestic |             | 8%          | 15%         | -3%         | -1%         | 10%         | -1%         | -13%        | 5%          | 12%         | 25%         | 7%          | 47%         | -36%        | -19%        | 3%      | 3%      | 4%      |



**Fig. 3: Domestic motorcycle market share trend (%)**



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